HOWDEN JOINERY LIMITED

DIRECTORS' REPORT AND FINANCIAL STATEMENTS

FOR THE 53 WEEKS ENDED 29 DECEMBER 2012

REGISTERED NUMBER : 0526923

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HOWDEN JOINERY LIMITED
DIRECTORS' REPORT

The directors have pleasure in submitting their report and the audited financial statements of the Company for the 53 weeks ended 29 December 2012 *(2011 52 weeks ended 24 December 2011)*

BUSINESS REVIEW, PRINCIPAL ACTIVITIES AND DIVIDEND

Howden Joinery Limited ("the Company") is a wholly owned subsidiary of Howden Joinery Group Plc ("the Group") The Company designs, and either sources or manufactures, kitchens and joinery products, and then sells these products to the building trade, predominantly small local builders, via a nationwide network of depots

As shown in the Company's profit and loss account, sales are £876m for the period *(2011 £842m)* The profit on ordinary activities before taxation is £110m *(2011 £103m)* and profit for the financial period is £78m *(2011 £74m)* The directors recommend payment of a final dividend of £90,000,000 *(2011 £nil)*

The balance sheet shows the Company's financial position at the end of the year Details of amounts owed to and from the parent and other group companies are shown in notes 9 and 10

The Howdens model continues to work because it is focused on the small builder, with the Company being clear that the only way to get a kitchen installed and working is to have it fitted by a professional Today's kitchen involves many variables It takes a qualified fitter to manage the combination of layout and design, accurate measurement, sophisticated surfaces and smooth finishing, not to mention the installation of integrated appliances, plumbing, lighting and waste disposal, so that everything looks good, works perfectly and conforms to all the relevant legislation

The Howdens model is designed to understand what is needed in the home and how the builder works And the reason it is successful is because Howdens makes the builder more competitive than any other offer in the marketplace

The builder is in business to make money and build a reputation, and he can only do that if every job is complete and satisfactory, and he can finish it on time and on budget So the builder must be able to rely on having truly local stock from cabinets and ovens to screws and glue What the builder buys must be of good quality It must also be capable of being fitted quickly and accurately, with no returns Howdens also offers the builder a trade discount, on a confidential basis, allowing him to determine his margin for each job, with credit terms of up to 60 days through a net monthly account

Further the Company helps the builder to sell to his customer The Howdens range of kitchens and joinery makes good design and quality accessible at all price points Everything sold is easily viewed by both builder and end-user, in print and online Howdens has also invested in up-to-the minute professional planning software and the business has over 1,000 experienced planners who are there to sit down with the builder and the builder's customer to make sure everyone gets the best possible result Today, 270,000 small builders all over the country hold credit accounts with Howdens, and the service provided is the cornerstone of their business

In each depot there is an entrepreneurial, manager-driven sales team, capable of opening local accounts, building local relationships, allowed to do their own marketing, responsible for their own profit and loss account and incentivised on local profit Last year the Company opened 20 new depots, bringing the total number of depots today to 529 The value of being a local business has only increased as demands grow on the builder's time and the roads become busier every year

The Company has also invested in making the model work at scale by building a stable, focussed supply chain with dedicated factories delivering well-designed product, and a robust, flexible infrastructure which allows quality, quantity, availability and cost, all to be controlled

Howdens continues to focus on growth through opening more depots, launching new products, improving productivity and increasing efficiency, all of which supports the margin The business has a clear strategy and a proven, cash-generative model that drives a business of worth and value for all concerned, and intends to maintain both the focus and the principles that have served so well as it continues to build the future of Howdens

FINANCE RISKS AND OTHER PRINCIPAL RISKS AND UNCERTAINTIES

The future success of the Company business depends on maintaining the culture and business model as the Company grows The Company needs to preserve the decentralised business model which allows depot managers to flex their requirements to suit the needs of their customers, and increases the entrepreneurship which is part of the Howden Joinery culture

The Company is financed by an interest-free loan from its ultimate parent company The Company has no third party debt, although as described below certain of its assets act as security on the Group's ABL facility It therefore has no interest rate exposure As such, the Company's financial risk management objectives and policies are those of the Howden Joinery Group Plc Group, which are contained in the Group's Annual Report, which does not form part of this Report

The Company's principal financial assets are bank balances, cash, and debtors The Company's credit risk is mainly confined to the risk of customers defaulting on sales invoices raised A policy of only dealing with creditworthy counterparties as a way of mitigating the risk of financial loss from defaults has been adopted Howden Joinery does not have any significant credit risk exposure to any single counterparty, since debtors consist of a large number of customers, with ongoing credit evaluation performed on the financial conditions of accounts receivable

The Company has no other significant risks and uncertainties, other than those risks that it shares with the Group The Group's risks, and the management of those risks, are discussed in the Review of Operations and Finance in the Group's Annual Report, which does not form part of this Report

GOING CONCERN

The current economic conditions create uncertainty particularly over (a) the level of demand for the Company's products and (b) the exchange rate between sterling and both the Euro and the US Dollar which would impact the cost of the Company's operations

The Company's forecasts and projections have been stress-tested for reasonably possible adverse variations in trading performance The results of this testing show that the Company should be able to operate for the foreseeable future

The Company's trade receivables and inventory balances act as security on the Group's asset-backed bank facility The security on these assets could be called upon if the Group were to breach its borrowing facility or covenants In addition the pension trustees have a charge on the shares of the Company and have a separate covenant test on the EBITDA for Howden Joinery This charge could be called upon if there were to be a breach of this covenant

The Group's latest forecasts and projections have been stress-tested for reasonably possible adverse variations in trading performance and show the Group should be able to operate within the terms of its current borrowing facility and covenants for the foreseeable future On this basis the directors of the Company believe that the security on the facility could not be called upon

After making enquiries, the directors have a reasonable expectation that the company has adequate resources to continue in operational existence for the foreseeable future Accordingly, they continue to adopt the going concern basis in preparing the accounts

SOCIAL AND EMPLOYEE ISSUES

With 529 depots throughout the UK, the Company is a local business with national scale and therefore has a unique responsibility to all of the communities in which it operates

Responsible Manufacturing

Howdens remains committed to UK manufacturing and continued to invest in its two manufacturing facilities (Howden, East Yorkshire and Runcorn, Cheshire) during 2012 In July 2011 it was announced that the Company would be investing circa £20m in new facilities at these locations over a two year period and by investing in local manufacturing it ensures that the quality of Howdens' product can be maintained while protecting the long-term competitiveness of the business and benefits the communities served

SOCIAL AND EMPLOYEE ISSUES (Cont'd)

Managing the Impact on the Environment

Wood - Manufactured Product
Given that wood based products are central to the business, the Company continues to set challenging targets for the responsible use of wood based products and paper products All of the kitchen ranges which are manufactured at the Company's factories are certified by the UK FSC and over 99% of all products manufactured in-house are FSC compliant (2011 99%)

Wood - Bought-in product
Ethical and environmental sourcing continues to be an important factor when determining which suppliers to use In order to ensure consistency with manufactured product, the Company aims to source from suppliers who have similarly high standards and international accreditation

As part of the Company's continuous improvement programmes all key suppliers are regularly audited and incorporates measures relating to Quality, Environment, Health & Safety, Employment and Business Continuity In 2012, as in 2011, 92% of the European timber based product suppliers were certified as sourcing timber from a sustainable supply Finally, Howden Joinery has been certified by the FSC and the PEFC since February 2008

Energy
The Company's efforts to reduce energy use across the business are recognised by its accreditation under the Carbon Trust Standard As well as assessing the Group's overall reduction in energy usage over a three-year period, the Standard also looks at general energy management systems across the business and the ways in which energy reduction is encouraged across all sites The Carbon Trust's assessors also noted the Company's commitment to supply energy efficient products to customers where possible

All Supply division sites, manufacturing, distribution or warehouse related, have maintained compliance with their ISO 14001 standard for Environmental Management as well as helping the Group retain its certification under the Carbon Trust Standard

The Company operates a fleet of 104 trucks and continues to work with haulier partners through traffic sharing arrangements including maximising the use of backhaul capacity All trucks remain Euro 5 compliant A new tracking system has also been implemented across the truck fleet during the year By monitoring and directing improvements in driving style, this system has resulted in a reduction in CO2 emissions across the fleet since its introduction

The Company has now completed its plan to replace the manager and sales representatives' vehicles with more eco-friendly models Where practical, the latest fuel efficient models are introduced as they become available from the vehicle supplier

The product KPI, set for a three year period (2010-2012), was aimed at improving the efficiency of the bestselling, own-brand products both in terms of energy consumption and water usage Excellent progress has been made over the last three years in respect of ovens, with energy consumption in the own brand "Lamona" appliances reduced by 12% overall and by 5% for the bestselling ranges Further, in the last year water consumption has reduced by 10% with the new dishwashers and laundry appliances In addition the Company is committed to gaining Energy Savings Trust certification for some of its appliances

Waste
All employees are encouraged to consider how to improve environmental performance in all areas by reducing consumption, reusing materials and recycling wherever possible In 2012, the Supply division reduced overall waste by 13% and continued to recycle waste including recycling 98% (2011 98%) of the 33,000 (2011 37,900) tonnes of waste produced

While the Trade division engaged with a waste contractor to implement a recycling programme to reduce the waste sent to landfill from the 529 trade depots To date this programme has been rolled-out to 248 depots, with initial results showing that there has been an overall reduction in excess of 50% in waste being sent to landfill The programme will continue to roll out further in 2013

SOCIAL AND EMPLOYEE ISSUES (Cont'd)

Supporting the Workforce to Acquire and Practice Core Skills

Employee Responsibility

The Company takes its responsibilities as an employer seriously, aiming to provide a positive work environment for all staff, whether they work in factories, warehouses, depots or offices The Company's culture emphasises the importance of individual accountability, which means the personal responsibility towards everyone engaged in Company business, which has been vital to its growth and development since 1995 This culture is reinforced by commitment to certain core principles

- Recognising by reward the hard work of all employees,
- investing in training and development across the business, and
- ensuring that recruitment, career success and progression are solely determined by an employee's abilities and achievements

Supporting Learning and Development in the Community

Howden Joinery's heritage and culture means a high value placed on a whole range of skills technical, commercial and interpersonal The Company is keen to promote the use of these skills in the workplace including developing apprenticeships in house, pioneering bursary scheme for apprentice joiners, partnering with Further Education colleges, delivery of BTEC programmes in the Trade division, and general training and development across the Group

Details of the number of employees and related costs can be found in note 3 to the financial statements

Health and Safety

In the depots to ensure a health & safety culture is maintained a number of courses are run including the defensive driving course which runs for those staff across the depot network who are required to drive as part of their day-to-day role, and the Depot Safety Management course, where managers continue to be trained every three years

In manufacturing, warehouse and distribution, all three sites achieved the prestigious "International Safety Award" given by the British Safety Council and all were awarded a "Distinction" Additionally, all three sites retained their OHSAS BS 18001 certification and maintained "5-Star" status in the British Safety Council 5-Star audit, achieving over 95% compliance

Across the Group there were no Prosecutions, Prohibitions or Improvement notices by either the Health & Safety Executive (HSE) or the Environment Agency (EA)

Playing an Active Role in Communities

Each depot, manufacturing site, distribution and support centre, fulfils an important role in the life of the area it serves So as a locally driven business, it is the Company's policy to encourage staff at each site to support and engage with local community activities

During 2012 staff were responsible for 2,126 donations to local good causes (2011 2,229) amounting to some £817,000 across the group (2011 £779,000) Cash and stock donations together with employee fund raising initiatives, typically supported a broad cross section of local causes including schools, colleges, village halls, care homes, hospices, sports clubs, scouts, guides and youth groups

More than 8 years ago a partnership with Leonard Cheshire Disability was formed Like Howdens, this charity works closely with local communities, supporting thousands of disabled people across the country Since its' foundation in 1948, volunteers have always been important to Leonard Cheshire Disability For the past six years Howdens has funded many areas of their volunteer recruitment and training programme, including the 'Can Do' project, which is an initiative offering social support and personal mentoring to young disabled people

Inspired by working with their residents, the Company's inclusive kitchen research with the charity continues to enable the business to offer affordable kitchen solutions to people of all abilities

DIRECTORS

The directors of the Company who served throughout the period were

M Ingle
C Youell
M Robson
R Fenwick
D Hallett
A Witts
C Bishop

No director held any beneficial interest in the shares of the Company at any time during the period

SUPPLIER PAYMENT POLICY

It is the Company's policy on payment of suppliers to agree terms of payment prior to commencing trade, and to abide by those terms on a timely submission of satisfactory invoices The number of days purchases outstanding for payment by the Company at the year end was 31 days *(2011 31 days)*

POLITICAL AND CHARITABLE CONTRIBUTIONS

The Company made charitable donations during the period amounting to £817,000 *(2011 £779,000)* The Company made no political donations during the current or previous period

AUDITOR

Each of the persons who is a director at the date of approval of this annual report confirms that

- so far as the director is aware, there is no relevant audit information of which the Company's auditor is unaware, and
- the director has taken all the steps he ought to have taken as a director in order to make himself aware of any relevant audit information and to establish that the Company's auditor is aware of that information

The confirmation is given and should be interpreted in accordance with the provisions of s418 of the Companies Act 2006

Deloitte LLP have indicated their willingness to be reappointed for another term and will be deemed to be reappointed in accordance with s485-488 of the Companies Act 2006

REGISTERED OFFICE

The Company's registered office is 40 Portman Square, London, W1H 6LT

STATEMENT OF DIRECTORS' RESPONSIBILITIES

The directors are responsible for preparing the Annual Report and the financial statements in accordance with applicable law and regulations

Company law requires the directors to prepare financial statements for each financial year Under that law the directors have elected to prepare the financial statements in accordance with United Kingdom Generally Accepted Accounting Practice (United Kingdom Accounting Standards and applicable law) Under company law the directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the Company and of the profit or loss of the Company for that period In preparing these financial statements, the directors are required to

- select suitable accounting policies and then apply them consistently,
- make judgments and accounting estimates that are reasonable and prudent,
- state whether applicable UK Accounting Standards have been followed, and
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the Company will continue in business

The directors are responsible for keeping adequate accounting records that are sufficient to show and explain the Company's transactions and disclose with reasonable accuracy at any time the financial position of the Company and enable them to ensure that the financial statements comply with the Companies Act 2006 They are also responsible for safeguarding the assets of the Company and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities

By Order of the Board

C Youell
Director
26 March 2013

INDEPENDENT AUDITOR'S REPORT TO THE MEMBERS OF HOWDEN JOINERY LIMITED

We have audited the financial statements of Howden Joinery Limited for the 53 weeks ended 29 December 2012 which comprise the Profit and Loss Account, the Balance Sheet and the related notes 1 to 20 The financial reporting framework that has been applied in their preparation is applicable law and United Kingdom Accounting Standards (United Kingdom Generally Accepted Accounting Practice)

This report is made solely to the Company's members, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006 Our audit work has been undertaken so that we might state to the Company's members those matters we are required to state to them in an auditor's report and for no other purpose To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the Company and the Company's members as a body, for our audit work, for this report, or for the opinions we have formed

Respective responsibilities of directors and auditor

As explained more fully in the Directors' Responsibilities Statement, the directors are responsible for the preparation of the financial statements and for being satisfied that they give a true and fair view Our responsibility is to audit and express an opinion on the financial statements in accordance with applicable law and International Standards on Auditing (UK and Ireland) Those standards require us to comply with the Auditing Practices Board's Ethical Standards for Auditors

Scope of the audit of the financial statements

An audit involves obtaining evidence about the amounts and disclosures in the financial statements sufficient to give reasonable assurance that the financial statements are free from material misstatement, whether caused by fraud or error This includes an assessment of whether the accounting policies are appropriate to the company's circumstances and have been consistently applied and adequately disclosed, the reasonableness of significant accounting estimates made by the directors, and the overall presentation of the financial statements In addition, we read all the financial and non-financial information in the annual report to identify material inconsistencies with the audited financial statements If we become aware of any apparent material misstatements or inconsistencies we consider the implications for our report

Opinion on financial statements

In our opinion the financial statements

- give a true and fair view of the state of the Company's affairs as at 29 December 2012 and of its profit for the 53 week period then ended,
- have been properly prepared in accordance with United Kingdom Generally Accepted Accounting Practice, and
- have been prepared in accordance with the requirements of the Companies Act 2006

Opinion on other matter prescribed by the Companies Act 2006

In our opinion the information given in the Directors' Report for the financial period for which the financial statements are prepared is consistent with the financial statements

Matters on which we are required to report by exception

We have nothing to report in respect of the following matters where the Companies Act 2006 requires us to report to you if, in our opinion

- adequate accounting records have not been kept, or returns adequate for our audit have not been received from branches not visited by us, or
- the financial statements are not in agreement with the accounting records and returns, or
- certain disclosures of directors' remuneration specified by law are not made, or
- we have not received all the information and explanations we require for our audit

Edward Hanson

Edward Hanson - Senior statutory auditor
for and on behalf of Deloitte LLP
Chartered Accountants and Statutory Auditor
London, UK
28 March 2013

HOWDEN JOINERY LIMITED
BALANCE SHEET AT 29 DECEMBER 2012

	NOTES	29 Dec 2012 £000	29 Dec 2012 £000	24 Dec 2011 £000	24 Dec 2011 £000
Fixed assets					
Tangible assets	6	**53,766**		49,670	
Investments	7	**-**		-	
			53,766		49,670
Current assets					
Stocks	8	**113,432**		116,074	
Debtors	9	**1,169,923**		942,525	
Cash at bank and in hand		**4,910**		11,860	
		1,288,265		1,070,459	
Creditors amounts due within one year	10	**(954,815)**		(813,526)	
Net current assets			**333,449**		256,933
Total assets less current liabilities			**387,216**		306,603
Creditors : amounts falling due after more than one year					
Finance lease creditor	10		**(163)**		-
Provisions	11		**(3,485)**		(2,477)
Net assets			**383,568**		304,126
Capital and reserves					
Called up share capital	13		**100,000**		100,000
Profit and loss account	15		**276,549**		198,449
Share-based payments reserve	15		**7,019**		5,677
Shareholders' funds	15		**383,568**		304,126

Approved by the Board of Directors and signed on their behalf by

C Youell
Director
26 March 2013

HOWDEN JOINERY LIMITED
PROFIT AND LOSS ACCOUNT
FOR THE 53 WEEKS ENDED 29 DECEMBER 2012

	Note	53 weeks to 29 Dec 2012 Total £000	52 weeks to 24 Dec 2011 Total £000
Turnover		**876,149**	842,403
Cost of sales		**(362,514)**	(364,181)
Gross profit		**513,635**	478,222
Selling and administrative costs		**(403,824)**	(375,644)
Operating profit		**109,811**	102,578
Profit/(Loss) on disposal of fixed assets		**147**	(138)
Interest payable		**(19)**	(10)
Profit on ordinary activities before taxation		**109,939**	102,430
Tax on profit on ordinary activities	5	**(31,839)**	(28,690)
Profit for the financial period - amount transferred to reserves		**78,100**	73,740

The results for the current and prior period derive from continuing operations

There are no recognised gains or losses in the current and the previous period other than those included in the profit and loss account, accordingly no statement of total recognised gains and losses has been presented

1. ACCOUNTING POLICIES

The accounting policies summarised below have all been applied consistently throughout the current period and the preceding period

BASIS OF PREPARATION

The financial statements are prepared under the historical cost convention and in accordance with applicable United Kingdom accounting standards The financial statements have been prepared on a going concern basis as discussed in the Directors' Report

Under Financial Reporting Standard 1, the Company is exempt from the requirement to prepare a cash flow statement on the grounds that it is a wholly owned subsidiary undertaking and a consolidated cash flow statement is given in the financial statements of Howden Joinery Group Plc

The financial statements include the undertakings for the 53 week period ended 29 December 2012 The comparative period covers the 52 weeks ended 24 December 2011

The Company is exempt from the requirement to prepare Group financial statements under s400 of the Companies Act 2006 since its results are included in the consolidated financial statements of its ultimate parent company, Howden Joinery Group Plc Accordingly these accounts present information about the Company as an individual undertaking and not its group

TURNOVER

Turnover represents the net value of goods and services sold to customers excluding value added tax All turnover arises in the United Kingdom and is recognised on substantial despatch of goods and services provided to customers, excluding sales taxes and discounts

TANGIBLE FIXED ASSETS

Fixed assets are stated at cost net of accumulated depreciation and any provision for impairment Depreciation is provided to write off the cost less any residual value of tangible fixed assets over their estimated useful lives as follows

Equipment and machinery	4 – 10 years
Computer equipment, fixtures and fittings, plant and equipment	3 – 10 years

STOCKS

Stocks are valued at the lower of cost and net realisable value Cost includes materials, direct labour and an attributable proportion of manufacturing overheads based on normal levels of activity Net realisable value is based on estimated selling price less further costs expected to be incurred to completion and disposal Provision is made for obsolete, slow moving stock or defective items where appropriate

TAXATION

Current tax, including UK corporation tax and foreign tax, is provided at amounts expected to be paid (or recovered) using the tax rates and laws that have been enacted or substantively enacted by the balance sheet date

Deferred tax is recognised in respect of all timing differences that have originated but not reversed at the balance sheet date where transactions or events that result in an obligation to pay more tax in the future or a right to pay less tax in the future have occurred at the balance sheet date Timing differences are differences between the Group's taxable profits and its results as stated in the financial statements that arise from the inclusion of gains and losses in tax assessments in periods different from those in which they are recognised in the financial statements

A net deferred tax asset is regarded as recoverable and therefore recognised only to the extent that, on the basis of all available evidence, it can be regarded as more likely than not that there will be suitable taxable profits from which the future reversal of the underlying timing differences can be deducted

1. **ACCOUNTING POLICIES (Continued)**

TAXATION (Continued)

Deferred tax is not recognised when fixed assets are revalued unless by the balance sheet date there is a binding agreement to sell the revalued assets and the gain or loss expected to arise on sale has been recognised in the financial statements Neither is deferred tax recognised when fixed assets are sold and it is more likely than not that the taxable gain will be rolled over, being charged to tax only if and when the replacement assets are sold

Deferred tax is recognised in respect of the retained earnings of overseas subsidiaries and associates only to the extent that, at the balance sheet date, dividends have been accrued as receivable or a binding agreement to distribute past earnings in future has been entered into by the subsidiary or associate

Deferred tax is measured at the average tax rates that are expected to apply in the periods in which the timing differences are expected to reverse, based on tax rates and laws that have been enacted or substantively enacted by the balance sheet date Deferred tax is measured on a non-discounted basis

LEASED ASSETS

Leases are classified as finance leases when the terms of the lease transfer substantially all the risks and rewards of ownership to the Company All other leases are classified as operating leases For property leases, the land and building elements are treated separately to determine the appropriate lease classification

Finance leases

Assets funded through finance leases are capitalised as property, plant and equipment, and depreciated over their estimated useful lives or the lease term, whichever is shorter The amount capitalised is the lower of the fair value of the asset or the present value of the minimum lease payments during the lease term at the inception of the lease The resulting lease obligations are included in liabilities net of finance charges Finance costs on finance leases are charged directly to the income statement

Operating leases

Expenditure under operating leases is charged to the profit and loss account on a straight-line basis over the period of the lease

FOREIGN CURRENCY TRANSACTIONS

Transactions in foreign currency are translated at the foreign exchange rates ruling at the dates of the transactions Monetary assets and liabilities denominated in foreign currencies at the balance sheet date are translated at the exchange rates ruling at the date Foreign exchange gains and losses are recognised in the profit and loss account

INVESTMENTS

Investments are stated at cost less any provision for impairment

PENSIONS

i) Defined benefit pension schemes

The Company participates in its parent company's (Howden Joinery Group Plc) group retirement benefit scheme This is a defined benefit arrangement, operating through a multi-employer defined-benefit scheme The assets and liabilities of the scheme are held separately from those of the Group The Company is unable to identify its share of the underlying assets and liabilities of the scheme and accordingly accounts for the scheme as if it was a defined contribution scheme This is in line with the guidance in FRS 17 relating to group defined benefit pension schemes

ii) Defined contribution pension schemes

The Group operates a defined contribution scheme for its employees For defined contribution schemes, the amount charged to the profit and loss account in respect of pension costs and other post-retirement benefits is the contributions payable in the year Differences between contributions payable in the year and contributions actually paid are shown as either accruals or prepayments in the balance sheet

1. ACCOUNTING POLICIES (Continued)

SHARE-BASED PAYMENTS

The Company has adopted FRS 20 "Share-based payments" In accordance with the transitional provisions, FRS 20 has been applied to all grants of equity instruments after 7 November 2002 that were unvested as of 25 December 2005

The Company issues equity-settled share-based payments to certain employees, based on the shares of its ultimate parent company Howden Joinery Group Plc Equity-settled share-based payments are measured at fair value at the date of grant The fair value determined at the grant date of the equity-settled share based payments is expensed on a straight-line basis over the vesting period, based on the Company's estimate of shares that will eventually vest

Fair value is measured by use of either a binomial model or a Black-Scholes-based model, depending on which model most closely reflects the terms of each individual share-based payment arrangement The expected life used in the model has been adjusted, based on management's best estimate, for the effects of non-transferability, exercise restrictions, and behavioural considerations

2. PROFIT ON ORDINARY ACTIVITIES BEFORE TAXATION

The profit on ordinary activities before taxation is stated after charging/(crediting)

	53 weeks to 29 Dec 2012 £000	52 weeks to 24 Dec 2011 £000
Depreciation	**12,161**	12,630
Hire of plant and machinery – rentals	**14,133**	10,797
Rent payable on property	**44,935**	40,947
(Profit)/Loss on disposal of fixed assets	**(147)**	138
Foreign exchange (gain)	**(5,000)**	0

The analysis of auditor's remuneration is as follows

	53 weeks to 29 Dec 2012 £000	52 weeks to 24 Dec 2011 £000
Fees payable to the Company's auditor for the audit of the Company's annual accounts	**120**	120
Total audit fees	**120**	120
Tax compliance	**48**	50
Tax advice	**46**	103
Total non-audit fees	**94**	153

3. STAFF NUMBERS AND COSTS (INCLUDING DIRECTORS)

Some of the Company's employees are paid directly by the Company In addition, there are a number of other employees, who work full-time in the operations of this Company, but who are employed by a fellow Howden Joinery Group Plc Group subsidiary, Howden Joinery People Services Limited, and whose employment costs are recharged to this Company in full The figures given below for staff numbers and costs include both groups of employees, in order to give more meaningful information

The average number of persons (full-time equivalent) who worked for the Company during the period, including those who were employed by Howden Joinery People Services Limited, was as follows

3. STAFF NUMBERS AND COSTS (INCLUDING DIRECTORS) (Continued)

	29 Dec 2012 No.	24 Dec 2011 No
Manufacturing and distribution	976	1,005
Depots	4,466	4,563
Head office	556	539
	5,998	6,107

The aggregate payroll costs of these persons were as follows

	53 weeks to 29 Dec 2012 £000	52 weeks to 24 Dec 2011 £000
Wages and salaries	173,616	159,999
Social security costs	17,892	16,028
Other pension costs	16,695	15,913
Share-based payment charge (note 20)	1,342	1,349
	209,545	193,289

4. REMUNERATION OF DIRECTORS

	53 weeks to 29 Dec 2012 £000	52 weeks to 24 Dec 2011 £000
Directors' remuneration		
Directors' emoluments	1,133	1,050
Pension costs	26	20
	1,159	1,070
The number of directors who:	No.	No
Are members of a defined benefit pension scheme	2	2
Are members of a money purchase pension scheme	-	-
Exercised options over shares	2	-
Remuneration of the highest paid director	£000	£000
Directors' emoluments	570	522
Pension costs	13	19
	583	541

The highest paid director exercised share options during the year

Based on normal retirement age the accrued pension of the highest paid director under the Company's defined benefit scheme, should he leave employment at the end of the financial year, is £43,200

5. TAX ON PROFIT ON ORDINARY ACTIVITIES

	53 weeks to 29 Dec 2012 £000	52 weeks to 24 Dec 2011 £000
UK corporation tax –current year	29,295	27,924
Adjustment for prior periods	1,589	746
Current tax charge	30,884	28,670
Deferred tax – current year	(167)	113
Deferred tax- adjustments in respect of prior years	1,122	(93)
Deferred tax charge	955	20
Tax charge on profit on ordinary activities	31,839	28,690

5. TAX ON PROFIT ON ORDINARY ACTIVITIES (continued)

Factors affecting current period corporation tax

The current corporation tax charge for the period is different from the standard rate of corporation tax of 24 5% *(2011 26 5%)* for the following reasons

	53 weeks to 29 Dec 2012 £000	52 weeks to 24 Dec 2011 £000
Profit on ordinary activities before taxation for the period	**109,938**	102,430
Profit on ordinary activities before taxation for the period multiplied by the standard rate of corporation tax in the UK of 24 5% *(2011 26 5%)*	**26,935**	27,143
Effects of		
Expenditure not deductible for tax purposes	**311**	392
Depreciation in excess of capital allowances	**386**	41
Movement in short-term timing differences	**-**	(10)
Transfer pricing adjustment on non-trading loans	**2,208**	-
Tax deduction on exercises of shares	**(787)**	(37)
FRS20 share-based payments	**329**	359
(Profit)/loss on disposal of fixed assets	**(86)**	36
Prior year adjustment	**1,588**	746
Current tax charge for the period	**30,884**	28,670

6. TANGIBLE FIXED ASSETS

	Plant and machinery	Fixtures and fittings	Computer equipment	Assets under construction	Total
Cost	£000	£000	£000	£000	£000
At 24 December 2011	21,505	66,961	27,094	4,326	119,886
Additions	1,298	4,560	2,145	8,293	16,296
Transfers between asset categories	1,564	54	303	(1,921)	-
Disposals	(563)	-	(2)	-	(565)
At 29 December 2012	**23,804**	**71,575**	**29,540**	**10,698**	**135,617**
Depreciation					
At 24 December 2011	(6,433)	(46,308)	(17,475)	-	(70,216)
Charge for the period	(3,537)	(5,042)	(3,582)	-	(12,161)
Disposals	525	-	1	-	526
At 29 December 2012	**(9,445)**	**(51,350)**	**(21,056)**	**-**	**(81,851)**
Net book value					
At 24 December 2011	15,072	20,653	9,619	4,326	49,670
At 29 December 2012	**14,359**	**20,225**	**8,484**	**10,698**	**53,766**

6. TANGIBLE FIXED ASSETS (continued)

Analysis of assets held under finance leases

	29 December 2012	24 December 2011
	Plant, machinery & vehicles	Plant, machinery & vehicles
	£000	£000
Cost	**524**	-
Accumulated depreciation	**(127)**	-
Net book value	**397**	-

Capital Commitments
At 29 December 2012, the Company had entered into contractual commitments to acquire property, plant and equipment amounting to £5 0m *(2011 £11 6m)*

7. INVESTMENTS

	Shares in group companies	**Total**
Cost	**£000**	**£000**
At 24 December 2011	748	748
At 29 December 2012	**748**	**748**
Provision at 24 December 2011	(748)	(748)
Provision at 29 December 2012	**(748)**	**(748)**
Net Book Value		
At 24 December 2011	-	-
At 29 December 2012	-	-

Shares in group companies
The principal subsidiaries at 29 December 2012 are listed below All subsidiaries are wholly owned and are incorporated in the United Kingdom, and registered in England and Wales, with the exception of Houdan Menuiseries SA, which is incorporated and registered in France In the opinion of the directors, the total value of shares in these companies is not less than the amount at which they are included in the balance sheet

Subsidiary	**Principal activity**
Howden Joinery Properties Limited	Property management
Howden Kitchens Properties Limited	Property management
Houdan Menuiseries SA	Trade kitchen furniture and joinery

8. STOCKS

	29 Dec 2012	24 Dec 2011
	£000	£000
Raw materials	**2,905**	3,558
Work in progress	**2,587**	2,824
Finished goods for resale	**107,940**	109,692
	113,432	116,074

There is no material difference between the balance sheet value of stocks and their replacement costs

9. DEBTORS

	29 Dec 2012	24 Dec 2011
	£000	£000
Amounts falling due within one year		
Trade debtors	**69,812**	70,395
Other debtors	**177**	118
Amounts owed by fellow subsidiary undertakings	**1,087,198**	858,318
Prepayments and accrued income	**9,497**	9,500
Deferred taxation (see note 12)	**3,239**	4,194
	1,169,923	942,525

10. CREDITORS

	29 Dec 2012	24 Dec 2011
	£000	£000
Amounts falling due within one year:		
Trade creditors	**57,843**	63,130
Corporation tax	**29,268**	27,923
Other taxes and social security	**41,438**	41,228
Current portion of amounts due under finance leases	**76**	-
Accruals and deferred income	**22,959**	20,135
Amounts owed to parent and fellow subsidiary undertakings	**803,231**	661,110
	954,815	813,526

	29 Dec 2012	24 Dec 2011
Amounts falling due after more than one year:	£000	£000
Non – current portion of amounts due under finance leases	**163**	-
	163	-

11. PROVISIONS

	Property dilapidations £000	Warranties £000	Total £000
At 24 December 2011	239	2,238	2,477
Provision created in the period	-	3,298	3,298
Released	(69)	-	(69)
Utilised in year	(80)	(2,141)	(2,221)
At 29 December 2012	**90**	**3,395**	**3,485**

Provisions for warranties relate to appliance products sold and cover a period of two years and also to five year glass guarantees for oven doors

12. DEFERRED TAXATION

	£000
At 24 December 2011	4,194
Charged during the period	448
Change of rate*	(281)
Adjustments in respect of prior periods	(1,122)
At 29 December 2012	**3,239**

The deferred taxation asset included in debtors is analysed as follows

	29 Dec 2012 £000	24 Dec 2011 £000
Accelerated capital allowances	**2,550**	2,421
Other timing differences	**689**	1,773
	3,239	4,194

*On the 17 July 2012 Parliament approved the Finance Bill which reduces the UK Standard rate of Corporation tax from 26 % to 24% with effect from 1 April 2012 and 23% from 1 April 2013 All deferred tax assets and liabilities have been recognised at 23% (2011 25%)

13. SHARE CAPITAL

	29 Dec 2012 £000	24 Dec 2011 £000
100,000,000 authorised ordinary shares of £1 00 each	**100,000**	100,000
100,000,000 allotted, called up, issued fully paid ordinary shares of £1 00 each	**100,000**	100,000

14. DIVIDENDS

There were no amounts recognised as distributions to shareholders in the current period Details of proposed dividends are given below

	29 Dec 2012 £'000	24 Dec 2011 £'000
Proposed final dividend for the 53 weeks ended 29 December 2012	**90,000**	-

15. RECONCILIATION OF MOVEMENT IN SHAREHOLDERS' FUNDS

	Share Capital	Profit and Loss Reserve	Share-based payments reserve	Shareholders' Funds
	£'000	£'000	£'000	£'000
At 24 December 2011	100,000	198,449	5,677	304,126
Profit for the period	-	78,100	-	78,100
Net movement in ESOP	-	-	1,342	1,342
At 29 December 2012	**100,000**	**276,549**	**7,019**	**383,568**

16. PENSIONS

i) Defined contribution pension

The Howden Joinery Plc Group group operates a defined contribution scheme for its employees The Company's pension charge for the current year for defined contribution pension schemes was £630,000 *(2011 £832,000)* There were no outstanding contributions at the period end

ii) Defined contribution auto enrolment pension

From July 2013, the Group will be required to operate an auto-enrolment defined contribution scheme for employees, in line with recent UK Government legislation Under the terms of this scheme, employees will make pension contributions out of their salaries, and the Group will also make additional contributions The Group decided to give employees the option to enter this scheme earlier than the mandatory start date, and so the auto-enrolment scheme was open to employees from November 2012 on a voluntary, opt-in, basis

The total cost charged to income in respect of this scheme in the current period of £0 1m (2011 nil) represents the Company's contributions due and paid in respect of the period

iii) Defined benefit pensions

The Company participates in the Group retirement benefit plan This is a defined benefit multi-employer arrangement, which operates through a funded pension scheme which provides benefits based on the final pensionable pay of participating employees This scheme will be closed to new entrants from April 2013 The assets of the scheme are held separately from those of the Group, being invested with independent fund managers The Company is unable to identify its share of the underlying assets and liabilities of the scheme and accordingly accounts for the scheme as if it was a defined contribution scheme This is the prescribed treatment in FRS 17 "Retirement Benefits"

Further information about the Howden Joinery Group Plc defined-contribution retirement benefit scheme is available in the Howden Joinery Group Plc consolidated Annual Report and Accounts The recent most completed actuarial valuation was carried out at 5 April 2011 by the scheme actuary The actuary advising the Group has subsequently rolled forward the results of the 5 April 2011 valuation to 29 December 2012, and has restated the results onto a basis consistent with market conditions at that date This exercise showed a scheme deficit at 29 December 2012 of £154 5m (2011 £136 9m), before netting off the associated deferred tax asset The roll-forward was done according to the requirements of International Accounting Standard 19 "Employee Benefits" ("IAS 19", under which the Howden Joinery Group reports its results), rather than FRS 17 (under which this Company reports its results) However, management have no reason to believe that there would be any significant difference between a valuation under FRS17 and one under IAS 19

The Company's defined benefit pension charge for the year was £16,003,000 *(2011 £11,924,000)* There were no pension costs unpaid but provided for at 29 December 2012 *(2011 £747,000)*

16. PENSIONS (continued)

The Group adopted IFRS with effect from 26 December 2004, and therefore the Group consolidated financial statements disclose pension charges, assets, and liabilities in line with IAS 19 "Employee Benefits" The Group does not believe that there are any material differences between the net pension deficit and the pension charge under IAS 19, compared to under FRS17 It may therefore be useful to users of these accounts to consult the full IAS 19 disclosures given in the consolidated financial statements of Howden Joinery Group Plc

17. FINANCIAL COMMITMENTS

The annual commitments under non-cancellable operating leases are set out below

Plant and machinery operating leases which expire	29 Dec 2012 £000	24 Dec 2011 £000
Within one year	752	419
Between two and five years	9,919	9,789
Over five years	621	816
	11,292	11,024

18. FINANCE LEASES

The finance lease obligations are repayable as follows	29 Dec 2012 £000	24 Dec 2011 £000
Current liabilities		
Within one year	77	-
Non-current liabilities		
In the second year	82	-
In the third to fifth years inclusive	81	-
Total finance lease obligations	240	-

All finance lease obligations are in sterling Each lease contract is at a fixed rate The weighted average of the fixed rates on the various contracts is 5 6% at the current year end *(2011 nil)* The finance lease obligations are unsecured The average remaining lease term is 3 years and 5 months (2011 nil)

Reconciliation of total future minimum lease payments to their present value

	Minimum lease payments		Present value of minimum lease payments	
	29 Dec 2012 £000	24 Dec 2011 £000	29 Dec 2012 £000	24 Dec 2011 £000
Amounts payable under finance leases				
Within one year	93	-	91	-
In the second year	93	-	86	-
In the third to fifth years inclusive	94	-	63	-
	280	-	240	-
Less future finance charges	(40)	-		
Present value of lease obligations	240	-		
Disclosed as				
Current	77	-		
Non-current	163	-		
	240	-		

19. SHARE BASED PAYMENTS

1) Details of each scheme
The Company recognised a charge of £1 3m (2011 charge of £1 4m) in respect of share-based payments during the period The Company has various share-based payments schemes, which are all equity-settled The main details of all the schemes which existed during the period are given below

a) Co-Investment Plan
This is a co-investment plan where each participant is permitted to invest a limited amount of shares on an annual basis for the purposes of the Plan

(i) 2011 award 25% of the award will vest if PBT growth at the end of the 2013 financial year is at a rate of 6% p a , based on the December 2010 accounts 100% of the award will vest if PBT growth on the same basis is 12% p a or above

***b)* Executive Share Options**
This is a discretionary share option plan These options are granted with an exercise price equal to market value

The vesting period is three years from the date of grant with an exercise period of seven years (i e a total life of ten years) In the information below, these options have been further subdivided according to their different performance conditions, in order to give more meaningful information The different subdivisions and performance conditions are as follows

i) 40% vesting if EPS growth equals RPI+40%, rising to 100% vesting for EPS growth of RPI+100%

ii) EPS growth must equal RPI + 9% If this is achieved there will be full vesting If this is not achieved there will be no vesting

***c)* LongTerm Incentive Plan - Options**
This is a discretionary plan under which the Company may grant different types of share award including market value and nil cost options, conditional awards of shares and restricted shares (where the employee is the owner of the shares from the date of award but subject to forfeiture) Unless otherwise specified all awards have substantially the same terms

(i) Market value options, the vesting period for which is three years from the date of grant with an exercise period of seven years (i e a total life of ten years) Options will vest if cumulative PBT of £90m is achieved over the three financial years ending 2009, 2010 and 2011

(ii) Market value options which vest after a three year period from the date of grant 15% of the options will vest if the group achieves growth in pre-exceptional PBT equivalent to RPI over the performance period, 100% will vest if pre-exceptional PBT growth is equivalent to RPI + 8% is achieved

(iii) Conditional Share Award - shares will vest at the end of a three year period commencing on the date of grant subject to continuing employment

(iv) 2011 Grant - 25% of the award will vest if PBT growth at the end of the 2013 financial year is at a rate of 6% p a , based on the December 2010 accounts 100% of the award will vest if PBT growth on the same basis is 12% p a or above

***d)* Share Incentive Scheme (Freeshares)**
This is an 'all-employee' share incentive plan whereby participants receive a grant of free shares in the Company If the employees are still employed by the Group three years after the grant, then the shares vest Dividends are paid out on the shares between award date and vesting date There are no other performance conditions attached to these awards

19. SHARE BASED PAYMENTS (continued)

2) Movements in the period

The following tables show the number and weighted average exercise prices ("WAEP") of each category of share options during the period, and the movements in each category The significance of options granted before 7 November 2002 is that they have been excluded from the IFRS2 share-based payment charge on the basis of their date of grant, as allowed on adoption of FRS 20

a) (i) Co-investment Plan 2011 and 2012 awards 25% of the award will vest if 6% growth in PBT is achieved, 100% will vest if 12% PBT growth is achieved	53 weeks to 29 December 2012 Number	53 weeks to 29 December 2012 WAEP (£)	52 weeks to 24 December 2011 Number	52 weeks to 24 December 2011 WAEP (£)
In issue at start of period	1,302,494	0 00	1,302,494	0 00
Granted in period	1,302,029	0 00	-	0 00
Lapsed in period	-	N/A	-	N/A
Exercised in period	-	N/A	-	N/A
In issue at end of period	2,604,523	0 00	1,302,494	0 00
Exercisable at end of period	-	N/A	-	N/A
Number of options in the closing balance that were granted before 7 November 2002	0		0	
Weighted average share price for options exercised during the period		N/A		N/A
Weighted average contractual life remaining for share options outstanding at the period end (years)	1 75		2.25	
Weighted average fair value of options granted during the period (£)	0 00		1 05	
Range of exercise prices for options outstanding at the period end (£)				
- from	0 00		0 00	
- to	0 00		0 00	

b) Executive Share Options

i) 40% vesting if EPS growth = RPI+40% rising to 100% vesting if EPS growth = RPI+100%	53 weeks to 29 December 2012 Number	53 weeks to 29 December 2012 WAEP (£)	52 weeks to 24 December 2011 Number	52 weeks to 24 December 2011 WAEP (£)
In issue at beginning of period	217,081	1 07	217,081	1 07
Granted in period	-	N/A	-	N/A
Lapsed in period	-	N/A	-	N/A
Exercised in period	-	N/A	-	N/A
In issue at end of period	217,081	1 07	217,081	1 07
Exercisable at end of period	67,943	1 07	67,943	1 07
Number of options in the closing balance that were granted before 7 November 2002	-		-	
Weighted average share price for options exercised during the period		N/A		N/A
Weighted average contractual life remaining for share options outstanding at the period end (years)	0 00		0 00	
Weighted average fair value of options granted during the period (£)	N/A		N/A	
Range of exercise prices for options outstanding at the period end (£)				
- from	1 07		1 07	
- to	1 07		1 07	

19. SHARE-BASED PAYMENTS (continued)

b) Executive Share Options

ii) Full vesting if EPS increases by RPI + 9%	53 weeks to 29 December 2012	53 weeks to 29 December 2012	52 weeks to 24 December 2011	52 weeks to 24 December 2011
	Number	WAEP (£)	Number	WAEP (£)
In issue at beginning of period	559,577	1 00	1,598,734	1 03
Granted in period	-	N/A	-	N/A
Lapsed in period	(25,000)	1 00	(729,065)	1 07
Exercised in period	(109,500)	1 00	(310,092)	1 02
In issue at end of period	425,077	1 00	559,577	1 00
Exercisable at end of period	349,637	1 00	407,137	1 00
Number of options in the closing balance that were granted before 7 November 2002	349,637		407,137	
Weighted average share price for options exercised during the period		1 46		N/A
Weighted average contractual life remaining for share options outstanding at the period end (years)	0 00		0.00	
Weighted average fair value of options granted during the period (£)	N/A		N/A	
Range of exercise prices for options outstanding at the period end (£)				
- from	1.00		1 00	
- to	1 00		1 06	

c) Long Term Incentive Plan - Options

i) cumulative PBT of £90m over three financial years ending 2009, 2010 and 2011	53 weeks to 29 December 2012	53 weeks to 29 December 2012	52 weeks to 24 December 2011	52 weeks to 24 December 2011
	Number	WAEP (£)	Number	WAEP (£)
In issue at beginning of period	8,330,382	0.37	8,550,382	0.37
Granted in period	-	N/A	-	N/A
Lapsed in period	(70,000)	0.36	(220,000)	0.37
Exercised in period	(6,898,417)	0.36	-	N/A
In issue at end of period	1,361,965	0.44	8,330,382	
Exercisable at end of period	1,361,965	0 44	-	N/A
Number of options in the closing balance that were granted before 7 November 2002	0		0	
Weighted average share price for options exercised during the period		1.25		0 00
Weighted average contractual life remaining for share options outstanding at the period end (years)	0 00		0.33	
Weighted average fair value of options granted during the period (£)	N/A		N/A	
Range of exercise prices for options outstanding at the period end (£)				
- from	0.36		0 25	
- to	0.50		0.50	

19. SHARE-BASED PAYMENTS (continued)

ii) 2012 PBT increase by between RPI and RPI + 8%	53 weeks to 29 December 2012	53 weeks to 29 December 2012	52 weeks to 24 December 2011	52 weeks to 24 December 2011
	Number	WAEP (£)	Number	WAEP (£)
In issue at beginning of period	2,479,053	0.81	2,608,421	0.81
Granted in period	-	N/A	-	0 00
Lapsed in period	(36,988)	0.81	(129,368)	N/A
Exercised in period	(25,466)	0.81	-	N/A
In issue at end of period	2,416,599	0.81	2,479,053	0.81
Exercisable at end of period	-	N/A	-	N/A
Number of options in the closing balance that were granted before 7 November 2002	0		0	
Weighted average share price for options exercised during the period		1.45		N/A
Weighted average contractual life remaining for share options outstanding at the period end (years)	0.25		1.33	
Weighted average fair value of options granted during the period (£)	N/A		N/A	
Range of exercise prices for options outstanding at the period end (£)				
- from	0.81		0.81	
- to	0.81		0.81	

iii) Conditional Share Award - subject to continuing employment	53 weeks to 29 December 2012	53 weeks to 29 December 2012	52 weeks to 24 December 2011	52 weeks to 24 December 2011
	Number	WAEP (£)	Number	WAEP (£)
In issue at beginning of period	1,014,200	0 00	512,400	0 00
Granted in period	615,000	0.00	584,900	0 00
Lapsed in period	(108,400)	0 00	(75,400)	0 00
Exercised in period	(19,500)	0.00	(7,700)	0 00
In issue at end of period	1,501,300	0 00	1,014,200	0 00
Exercisable at end of period	-	N/A	-	N/A
Number of options in the closing balance that were granted before 7 November 2002	0		0	
Weighted average share price for options exercised during the period		1 44		1 09
Weighted average contractual life remaining for share options outstanding at the period end (years)	1.33		1 75	
Weighted average fair value of options granted during the period (£)	1.25		1 05	
Range of exercise prices for options outstanding at the period end (£)				
- from	0 00		0 00	
- to	0 00		0 00	

19. SHARE-BASED PAYMENTS (continued)

(iv) 2011 grant - 2013 PBT to increase by between 6% - 12%pa, based on Dec 2010 PBT/2012 grant - same target but for 2014, PBT based on 2011 PBT	53 weeks to 29 December 2012 Number	53 weeks to 29 December 2012 WAEP (£)	52 weeks to 24 December 2011 Number	52 weeks to 24 December 2011 WAEP (£)
In issue at beginning of period	748,162	1 09	-	N/A
Granted in period	717,294	1.28	748,162	1 09
Lapsed in period	(67,911)	1 16	-	N/A
Exercised in period	(4,937)	1 12	-	N/A
In issue at end of period	1,392,608	1 18	748,162	1 09
Exercisable at end of period	-	N/A	-	N/A
Number of options in the closing balance that were granted before 7 November 2002	-		0	
Weighted average share price for options exercised during the period	-	1 45	-	N/A
Weighted average contractual life remaining for share options outstanding at the period end (years)	1 73		2.25	
Weighted average fair value of options granted during the period (£)			0.53	
Range of exercise prices for options outstanding at the period end (£)				
- from	1 09		1 09	
- to	1.28		1 09	

d) Share incentive scheme (Freeshares)	53 weeks to 29 December 2012 Number	53 weeks to 29 December 2012 WAEP (£)	52 weeks to 24 December 2011 Number	52 weeks to 24 December 2011 WAEP (£)
In issue at beginning of period	207,839	-	233,614	-
Granted in period	-	N/A	-	N/A
Lapsed in period	-	N/A	-	N/A
Exercised in period	(20,306)	1.34	(25,775)	0 00
In issue at end of period	187,533	0.00	207,839	0 00
Exercisable at end of period	181,834	0.00	207,839	0 00
Number of options in the closing balance that were granted before 7 November 2002	128,204		141,538	
Weighted average share price for options exercised during the period		1.34		0 00
Weighted average contractual life remaining for share options outstanding at the period end (years)	-		-	
Weighted average fair value of options granted during the period (£)	N/A		N/A	
Range of exercise prices for options outstanding at the period end (£)				
- from	0 00		0 00	
- to	0 00		0 00	

19. SHARE-BASED PAYMENTS (continued)

3) Fair value of options granted

The fair value of all options granted except Sharesave is estimated on the date of grant using a binomial option valuation model Sharesave schemes are valued using a Black Scholes model as they are not considered to be of such complexity that they require a binomial model

The key assumptions used in the models were

	53 weeks to 29 December 2012	52 weeks to 24 December 2011
Dividend yield (%)	**1.5**	1 5
Expected share price volatility (%)	**54**	54
Historical volatility (%)	**54**	54
Risk-free interest rate (%)	**1.6**	3 0
Expected life of options (years)	**4.8**	4 8

Historical volatility is measured for each scheme over the period equal to the vesting period of the scheme The figure arrived at is then used as the best estimate of expected future volatility

20. ULTIMATE PARENT COMPANY AND RELATED PARTY TRANSACTIONS

The Company's immediate parent company is Howden Joinery Holdings Ltd and the ultimate parent company and controlling entity is Howden Joinery Group Plc, both incorporated in the United Kingdom and registered in England and Wales

The largest and smallest group in which the results of the Company are consolidated is that headed by Howden Joinery Group Plc The consolidated accounts of this group are available to the public and can be obtained from the Registrar of Companies, Companies Registration Office, Crown Way, Maindy, Cardiff, CF14 3UZ

The Company is exempt under FRS 8 from the requirement to disclose transactions with the group headed by Howden Joinery Group Plc on the grounds that it is a wholly owned subsidiary

There were no other related party transactions